



***BKM INDUSTRIES LIMITED***

# Anti-Bribery and Anti-Corruption Policy

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| <b>Document owner</b>      | Compliance Officer        |
| <b>Approving authority</b> | Board of Directors        |
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## Document control and approval record

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## Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Prevention of Corruption Act, 1988, including sections 8, 9 and 10
- Companies Act, 2013, including sections 166, 177, 182 and 447
- Prevention of Money-laundering Act, 2002 and Bharatiya Nyaya Sanhita, 2023, where attracted
- Applicable foreign anti-bribery laws for conduct or operations within their jurisdiction

### STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

## Mandatory anti-bribery controls

- Never offer, promise, give, request or accept an undue advantage, directly or through another person, to influence or reward an improper act.
- Facilitation payments are prohibited. A payment made under an immediate threat to health or safety must be reported and accurately recorded as soon as safe.
- Complete risk-based diligence, written contracting, approval and monitoring for agents, consultants, customs/logistics intermediaries and other Associated Persons.
- Maintain accurate books, invoices and expense records; off-book accounts, false descriptions and unsupported cash withdrawals are prohibited.
- Charitable contributions, sponsorships and political contributions require documented purpose, beneficiary diligence, conflict checks and approvals under law. No contribution may be used as a conduit for an improper benefit.

Concerns may be sent to [secretarial@bkmindustries.in](mailto:secretarial@bkmindustries.in), to the Compliance Officer at the registered/corporate office, or through the approved vigil mechanism.

## Policy provisions

### Objective

BKM (hereinafter referred to as “The Company”) enforces zero-tolerance policy against any form of bribery or corruption. The Company is committed to acting professionally, fairly, and with absolute integrity in all its business dealings and relationships, wherever it operates.

This Policy has been framed in accordance with all applicable laws, regulations, and relevant statutory provisions countering bribery and corruption, including the Indian Prevention of Corruption Act, 1988 (PCA), and other applicable Indian and international statutes, as amended from time to time. BKM commits to abide by the principles of this Policy in both letter and spirit.

### 2. Scope of Applicability:

#### **This Policy applies strictly to all:**

Internal employees (whether regular, fixed-term, temporary, or trainees/interns).

Directors and Key Managerial Personnel (KMPs).

Transactional agents, consultants, contractors, and external third-party partners or subsidiaries acting on behalf of BKM (collectively referred to as "Associated Persons").

### 3. Operational Standards & Principles:

#### **Public Officials & Private Sector**

The company commits to uphold all applicable law in the countries we operate relevant to countering bribery and corruption practices in all its forms, including conflicts of interest, forgery, fraud, money laundering, insider trading, and related to any of the aforementioned practices. We prohibit all forms of bribery, kickbacks and corruption practices involving, but not limited to, Government Officials and private sector persons or companies.

#### **Gifts, Hospitality & Exceptions**

Employees and Associated Persons must not accept or offer gifts, entertainment, or excessive hospitality that could influence commercial decisions or create an obligation.

**Prohibited Items:** Personal benefit gifts/vouchers, cash, cash equivalents, tips, or lavish entertainment are categorically forbidden and must be refused.

**Permitted Exceptions:** Exchange of nominal, customary, and infrequent souvenirs (e.g., diaries, calendars, pens, bouquets) is allowed during special events or festivals.

#### **Value Thresholds**

A lawful, customary and infrequent gift or hospitality up to ₹2,000 may be accepted or offered only where it cannot reasonably influence a decision. Any item above ₹2,000 and up to ₹5,000 requires prior written approval of the Compliance Officer. Items above ₹5,000 are prohibited unless an exceptional ceremonial item is approved in writing and surrendered to the Company.

**Mandatory declaration:** every gift, hospitality or business courtesy valued above ₹2,000, and every item involving a public official regardless of value, must be recorded promptly in the Gifts and Hospitality Register.

**Business Meals:** Customary business lunches, dinners, or social gatherings are permissible provided they do not compromise the objectivity of the BKM decision-maker.

## Facilitation Payments

The Company strictly prohibits "grease payments" or small financial transfers to speed up, facilitate, or expedite standard government clearances, licensing pipelines, or official business work.

## Charitable Contributions, Sponsorships & Political Funding

**Charitable Contributions:** Prohibited if made in exchange for improper favors or commercial benefits. Transparent contributions to registered charities with proper records and tax receipts are permitted.

**Political Contributions:** BKM prohibits the use of Company funds for political contributions unless they are fully legal under applicable law, aligned with this Policy, and approved in advance by the Board of Directors.

**Sponsorships:** Allowed solely to strengthen BKM's brand image, provided they avoid any perception of bribery, corruption, anti-trust, or anti-competitive practices.

### 4. Reporting of Concerns

Every Associated Person(s) is encouraged to raise concerns about any bribery issue or any case of corrupt practices or any breach of this Policy or applicable law at the earliest in line with below matrix.

## Reporting Matrix

If unsure whether a particular act constitutes bribery or corruption or if they have any other queries, the same may be clarified with their respective reporting manager.

## Direct Reporting Channel

Any aggrieved Associated Person is free to raise concerns directly to the Compliance Officer by either writing an email to [Secretarial@Bkmindustries.in](mailto:Secretarial@Bkmindustries.in) or by sending a sealed letter addressed to the Compliance Officer at the Corporate Office.

## Protection & Whistleblower Safeguards

**Non-Retaliation:** No Associated Person(s) who in good faith report a violation of this Policy shall suffer any harassment, retaliation or adverse employment consequences.

**Knowingly false or malicious reports:** a report shown after fair review to have been knowingly false or malicious may result in proportionate action. A concern is not malicious merely because it is mistaken or cannot be substantiated.

### 5. Investigation & Governance

## Investigation Process

Enquiries or investigations into reported violations of this Policy shall be conducted by an Investigation Committee under the guidance of the Compliance Officer. The objective of such an enquiry or investigation would be to determine the facts of the matter.

Investigations will strictly follow the principles of natural justice, ensuring that the relevant Associated Person is provided with an opportunity to make his / her case before the Investigation Committee.

External experts may be appointed to assist with investigations if specialized skills are required.

The investigation process and the subsequent reports will be kept confidential and shall be shared only with such persons who have a "need to know" under applicable law or under the Company's standard investigation process.

## Corrective & Disciplinary Action

**Corrective Measures:** If a violation is confirmed, procedural and systemic corrective actions will be implemented immediately.

**Disciplinary action:** the Investigation Committee may recommend proportionate action to the Managing Director or other competent disciplinary authority, including suspension, demotion or termination, subject to law and due process.

**Legal Action:** The Compliance Officer will assess if the violation breaches criminal or civil laws and will notify the relevant statutory Authorities accordingly.

## Review and Implementation

The Compliance Officer is responsible for monitoring the implementation and everyday enforcement of this Policy. The Board of Directors will review this Policy periodically and recommend appropriate amendments to align with changing regulatory frameworks.

## Schedules retained from the source policy

### Schedule 1

| Location/level                                  | Authorized person                      |
|-------------------------------------------------|----------------------------------------|
| Plants & Site Operations (up to Senior Manager) | Plant Head / Site Head                 |
| Corporate / Offices (Up to Senior Manager)      | Corporate HR Head                      |
| Above Senior Manager (Up to Vice President)     | Compliance Officer                     |
| Senior Vice Presidents and KMPs                 | Executive Chairman / Managing Director |

## Governance, monitoring and records

- Policy owner: Compliance Officer. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

## Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.